Oil Is Under $90. Why Is 2027 Pricing Still Climbing?

Podcast: Know your risk

AI Executive Summary

1. Core Thesis Despite the market experiencing a rare period of low volatility and sideways price action (flat stocks, compressed DRAM range) amidst persistent geopolitical tension in the Middle East and Eastern Europe, there are specific niche opportunities identified in nuclear energy, utilities, and potentially European financials. However, the speaker warns that popular trades like shorting the Russell 2000 (IWM) are becoming crowded and may have deteriorated risk/reward profiles. Simultaneously, significant shifts in military strategyâ€”specifically the withdrawal of US B1 bombers from the UK due to asymmetric drone threatsâ€”highlight a new geopolitical equilibrium involving smaller, expendable autonomous systems replacing strategic assets.

2. Key Arguments & Data

3. **Market Performance:**
    - **Indices:** S&P 500 up >0.5%, Equal Weight mixed (broadly stable), Small Caps -0.72% (IWM down >2%).
    - **Volatility:** Very low; Spot VIX hovering near 15, Realized Vol ~2%. DRAM down 3.5% (since May volatility compressed).
    - **Rates:** 2-Year yield down 1 basis point; 10-Year flat (near recent highs); Yield curve functioning well with front-month vol still present.
4. **Commodities & Assets:**
    - **Energy:** Oil ~$90 WTI, $101 Brent (near highs but not weak); Heating oil/Green diesel off highs; Gold/Silver up <1%; Miners +0.9% (first green candle in days).
    - **Sectors:** Nuclear/Utilities notably moved (XLU +3%, Constellation Energy +12%). Biotech volatile with massive single-name losses and gains due to insider selling/ETF repositioning.
5. **Geopolitical Developments:**
    - **Iran Conflict:** Iran increased tanker attacks from ~1/day to ~2/day. US policy shifted to no tit-for-tat retaliation despite

missile threats (cost-benefit analysis on interceptors).
    - **US Military Strategy:** All B1 bombers withdrawn from UK due to credible IRGC drone threat; demonstrates asymmetry where expendable/cheap drones outweigh strategic large bombers in conflict dynamics.
    - **Russia-Ukraine Conflict:** "Darwinian" tech transfer involving drones dropping molten metal; focus shifts from expensive systems to small, autonomous, cheap hardware globally.

6. **Macro & Emerging Markets:**

    - **European Financials:** 10-Year yield below US despite high inflation/fiscal issues; potential nibble trade opportunity given yield spread tightening.
    - **Emerging Markets (EM):** Local currency bonds offering ~10-11% yields with spreads tightening against US Treasuries; recently getting "ugly" but seen as a reset/washout opportunity for tight stop entries.

7. Actionable Takeaways

8. **Manage Small Cap Exposure:** Monitor IWM short positions carefully; the trade is no longer as attractive due to increasing crowd participation (shorts), and divergence between large caps and small caps could emerge.
9. **Consider Right-Tail Hedges:** Build a starter position or right-tail hedge on DRAM given its compression since May, utilizing tight stops for volatility management.
10. **Focus on Nuclear & Utilities:** Watch Constellation Energy (Const.) and XLU closely; they may offer potential multi-day/week uptrends supported by technicals and sector momentum despite short-term dips.
11. **Niche Trade European Financials:** Evaluate opportunities in French/British financials for a short-term nibble trade based on yield spread dynamics compared to US Treasuries, assuming the current economic environment allows.
12. **Enter EM Bonds with Caution:** Approach Emerging Market Local Currency Bonds (10-11% yields) only if you can tolerate volatility and

use tight stops; view the recent washout as a potential entry reset rather than a long-term trend signal.

Full Transcript

December of 27, same thing. Basically the same closes yesterday, but that's a new high. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

All right, welcome back to another edition of the Daily Dots Chase flying solo with you again today Tuesday October 6th I run through the markets and then I have a few things. Let's spend this kind of a little bit of time on each S&P was up a little over half percent today and Again today equal weight kind of kept pace You shouldn't see breadth go from horrible to just bad like slight slight improvements equal weights Suddenly not a dumpster fire Small caps down point seven two and I'll talk a little bit about that after you write that down because I didn't write that down Small caps in general the cues are up about a half percent same for max seven All world X us down point oh eight the dollar down point two five on the day finally get a little bit of a break On the dollar at least for a day one oh one eighty eighty five roughly there Within mag 7 honestly nothing really moved other than Amazon and it even it was up less than 2% So kind of vol pretty pretty quiet within single names and mag 7 lately As we record here oil up about half percent just under 90 bucks on WTI Brent is that 101 so off the highs but not not weak or anything in my opinion And if you go out to say, you know, May of 27, which you went on a new closing high for the move. So December of 27, same thing. Basically the same closes yesterday, but that's a new high. So the curve continues to work, do its magic, do its job. Front month continues to be more volatile, but still not bad. Both our Bob and

heating oil were green on the day, but both decent amount off the highs as SPR releases.

continue to kind of at least help some, especially the diesel coming out of Europe. Gold, silver, both up a little less than 1%. Gold miners actually up finally, about .9. That was the first green candle. We're not down much, but first green candle in about four or five days, though we're barely down from that. So it's kind of stabilized here lately. Copper, up a smidge. Two-year yield down one basis point. the 10 down to basis points and 30 flat. So you're still very, very, very close to the highs that we just put in yesterday. But as a day of at least a day of rest for duration, the two year continues to be like 15, 16 basis points off the recent high, which is definitely not nothing. I was a little surprised IWM was down as much as it was today, given two year down a little bit of all down.

Over 2% on the day, you're barely holding on to 17 for front month VIX. Spot VIX barely holding on to 15. So very, very low vol. That seems weird to me going forward. Though looking back, realized volatility has been very quiet. I don't realize I'm at 2% today in something, but it's been a while. Now, that may not last, but you may even get upside vol that turns into VIX futures going up. But DRAM was down three and a half today. And I actually think kind of time to take a stab there and we put on a very small starter position, starting to build some right tail hedges in case we need them. And DRAM is part of that, very small though. But this stuff has now, it's now sideways since May. So since 26th of May, you've done nothing. And obviously the earnings picture has improved, I would say since then, you know, you're talking almost five full months.

And you're flat, you're barely above the 50 day. You went from moving around 10% a day to moving around, we're like one to 4% a day. So the vol is really compressed. So I kind of like that way that's setting up potentially. And the beauty of it, you know, where it's at is close enough to like the 50 day where you can keep a pretty tight stop on it. I mentioned yesterday kind of time to start thinking about right tail hedges. That's one that could work. Who knows? As far as single names, I will mention, There were some huge gains in biotech yesterday, some huge losses in biotech, single names down 10, 20%. So there's a bit of a washout there, mostly from names that have

just already had insane years. And you get some insider selling, you get some ETFs. They got to overweight. Some of those names kind of repositioning. So other than rates being high, I don't really see any issues for biotechs to really like it.

Took it to a little bit of an advantage today of some of that coming off, but I was a notable kind of single name, maybe a syncretic thing out there that pops to mind Uranium had a very nice day. You had your NM the miners up about 5% And this is just a constellation It was Google deal or they're talking about supplying some nuclear power to Google Constellation was up 12% today And that one's a bit of a bummer because I was I was kicking the tires on on taking a harder look at, at Constellation recently. So that doesn't mean I'm, you know, we miss the, the chance to do that. Because maybe, you know, maybe that, that's still very much doable. And I will say like, each time that the Broly Garcs, the tech fellows start talking up nuclear, it gives it a nice little pop for a day or a week, maybe in a month. And I usually are able to kind of look up and it's gone. Hopefully this would be one that sticks.

But what we'll see but like constellations jump jumped above its moving averages on the daily if you know if you're in a weekly Kind of at the 50 week moving average and the downtrend line that goes back to the peak in the move in October of 25 So it's interesting setup. Um, I'm doing this on the fly right now. I'm gonna look at XLU. Yeah, so Utilities up about 3% today broadly. I'm sure most of that was the move in constellation, but they still So that was notable from like a kind of a single-day move the new CTF in UKZ, not as up as much as this stuff, but it's still decent and kind of picking up. Notable to me. Let's see. Is that worth mentioning? Nope. Okay. Xenergy was just a nuclear company that I really like at IPO'd. Let's see, when was that? Yeah, earlier this year, like most IPOs, it's gone straight down, but now it's like, maybe once you get to see likes a little bit.

So I'm kind of watching that to go from just IPO. I love this company to maybe adding as hoping that the IPO washout that tends to happen is through a bullseye. So moving into the things I wanted to talk about, one of them is all of a sudden like now you look at US markets and it doesn't feel like there's a bunch of great opportunities. To a lot of people I don't think

especially because if you want something great sensitive or dollar sensitive It just feels terrifying to jump into it obviously But I've seen some some some washouts and some stuff abroad that that has me interested one being European financials Everyone's getting all freaked out about you know bond yields and and France and stuff like This is something that happens every few years and then next thing you know it doesn't matter again At the moment, it matters. Everyone cares, even though this election is not until April. Their 10-year yield is still below the US. They're throwing it wrong. Their fiscal math is really ugly. They have their populists on both sides talking to a good game about cutting, suspending, or whatever, or defaulting, or whatever they're talking about. Probably not going to do any of that. And in sure, they can't print their own money. But this notion of ECBs is going to let France blow up.

and turn into a problem for the whole continent. Like, yeah, I doubt it. So if anything, we'd probably go back to QE, just like in America, we're going to go back to QE in one form or another, whether it's making the banks do it or the Fed do it or, you know, me and you and our retirement accounts do it, whatever. I don't know. But I think that probably is a little overblown. Now, I don't like financials. I don't trade banks almost ever. But watching, watching European financials get lit up here in the last few weeks, For a trade, it feels like a worthy little nibble. Another one is emerging market local currency bonds. Interestingly, the spread between US Treasuries and EM has actually been coming in. It is tightened, so the EM bonds haven't had as ugly of a time for most of this year as America. I don't think people would realize that, especially with oil prices and stuff like inflation being problematic, but it's true.

But with that said, all of a sudden you see emerging market, local currency bonds here in the last, again, like two or three weeks, really getting ugly. But to me, and this stuff, you know, you're talking like 10, 11% yield. I feel like a bet I'm willing to take now that it's kind of reset and washed out. Again, you do a tight stop, you know, manageable like entry. And that's kind of the point to me is it's more than, you know, falling in love with the idea even though I do love the idea. It's more about like, ah, I can give this a shot with a tight stop to see what happens, which to me is as important as anything personally. Now, none of that's investment advice by any stretch of

imagination. There's plenty, plenty of risk in an emerging market, local currency bonds. If said currencies go whoopsy and in emerging markets, sometimes currencies go whoopsy, especially with 100 oil and 200 diesel and everything.

The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. The other thing I meant to mention is yesterday but didn't and obviously I've been on the show in like two weeks. Kind of a straight straight to our lives update and kind of where we're at. I mentioned previously that we kind of were in this regime where both sides seemed pretty happy with the status quo. Like no one was really upsetting it. We've had a couple of skirmishes that broke it. And then we kind of went back into the status quo. And inside that previous status quo, we were just in this regime where Iran hit about one tanker a day, pretty close to one a day on average. And the US got a good bit out of the straight. You know, you got to the point where you're above 10 million barrels a day and you're getting, it's a good bit, you know? That's why it was 100, not 150 right now.

But since, yeah, since a lot of people declared Iran to have lost control of the straight, they have kind of upped the ante and really for like the last week, it's been more like two a day. So they kind of doubled down, started hitting about two tankers a day. So now all of a sudden you're getting less out than you were a week ago. Some of the number spike there was an anomaly. Like if you get a concentration of loadings and then they all push out at the same time, it looks better than it does on like a 10, 15, 20 day average or whatever. So some of this come down has been it just was going to do that and kind of a base effect. But some of it also has been, oh well, two are getting hit a day. Some are getting turned around because it's obviously a credible threat. And I still think in that surge we saw a lot of that was Saudi oil getting out of the Gulf. It's kind of obvious to me that Iran let it let it through. And if you think about where it was going, China, it kind of makes sense.

I think this should be periodic times where China's like, hey, we need X amount, let it out. And Miranda says, okay. So I don't think you could view every barrel getting out as some like victory of the coalition to get it out. I think a lot of it is that, but a lot of it also is like, well, we got to let China get tomorrow. Like you got to keep them happy. I think that's worth noting. But now that we are up to two a day, you're at this weird new equilibrium where things are, Kind of good for both sides. I'm kind of bad. So if you go back to the last time that That things got a little sporty What we what was happening was they would hit one of these one of these day and what we would go out and hit a Iranian tanker It's like an eye for an eye thing. That was that was like what we said was our new policy where it's gonna hit one We hit one and you haven't seen us do that lately because every time we hit one they would hit something right they would launch missiles at Jordan and we would you know, like of a hundred interceptors or whatever that we can't afford to be Letting go of so I think I think it's notable that Here in the last week rounds hit a lot of tankers And we're not doing that tit for tat hitting their tankers thing We're just gonna let it go now part of that. It's like yeah, we're getting a good bit out So like no need to like go upset the apple cart as long as you know prices are reasonably stable here And part of it is like, you know the missile math like you don't want to give up interceptors at the at the cost of like Oh, yeah, we got an Iranian tanker Disabled that probably isn't worth a hundred. You know patriot interceptors financially or strategically obviously not strategically in my opinion, but So that's where that is at. So I think we're this new Slightly different equilibrium that is a little more costly for the US But at the same time like the alternative is pretty ugly But but the equilibrium goes both ways like obviously Knowing that we are running low on these interceptors and everything Iran could clearly Launch a bunch of ballistic missiles just like an offensive move instead of defensive move to saturate more You know get energy prices up even higher apply more pressure and they're not doing it either so like Both sides are happy enough with the way things are going to not you know make it make things worse For themselves in the region and another development here in the last week that does feel notable Franklin unfortunate is We pulled of all of our B1s out of out of England And it was due to a threat, an IRGC drone threat. This is obviously significant to me. That is sort of like a weird paradigm that we've entered where Iran can project force in England at a disproportionate level than we can. We have to

remove strategic bombers, conventional bombers that are used for strategic reasons, not nuclear in that way.

very strategically important for that war effort. We had to pull them all out because of a drone threat that obviously was very credible or we wouldn't have pulled them out. But so we can't use England as a launch platform for these assets, which tells you like, I mean, just by definition, like they are projecting more power in that sense. Obviously it's very, very, you know, convex power. It's not, it's just they might use a drone like that. It's not the same powers, a bunch of bombers. But that's kind of the point. It's so asymmetric that you have to deal with it in that way. And that shows that these big weapon systems aren't what they used to be. They are, in some ways, like an albatross around your neck versus an asset. You need small, autonomous, cheap, expendable. At this point, more than you need large exquisite, fancy, powerful things.

and speaking of the war and like this combat Darwinism where both sides keep adjusting to each other quickly as we've seen in Russia Ukraine if you haven't seen the dragon drones it is like apocalyptic stuff to watch it's honestly like literally scary but the Russians are now I think maybe both sides I don't know but are using drones that like literally drop molten metal like Like either for trenches so like one of the features of this war is you're back to war one trench warfare in a way because to get out of the trench you get smoked by a drone But if you build a bunch of nets over, you know Trench like they can't get to you But there's really nothing you could do about someone dropping liquid metal on you like that's just That's that's way harder to deal with because it'll cut through even you know some aluminum plating or something like if it's not really thick It's just and it's just horrific footage to see so like even the trenches aren't safe now Obviously, they will find a way to make them safe in the future as the Darwinism just keeps like catching up to each other But as those two sides compete in that Darwinian nastiness of you know getting better and better With these autonomous systems like the rest of the world. It's not directly in that fight is getting worse at it and then it was everybody like Yes, they all use Chinese parts or whatever, but it's not like the Chinese are able to do that stuff today if they needed to. The US clearly cannot do that today if needed to. France and Germany couldn't do it if they needed to. So right

now you have Russia and obviously the North Koreans, the Iranians, the Chinese are in there trying to learn as much as they can as quickly as they can from Russia. Same for the West, from Ukraine, but those sides have all sorts of advantages. The rest don't, at least for now.

And it's just been crazy to watch that stuff continue to pick up and seeing, you know, seeing these massive, massive bombers have to leave, you know, the European theater while trying to press, prosecute a war in the Middle East. It's just kind of kind of stunning. Now, with that said, I'm glad someone was smart enough to get them out before like you lost billions of dollars worth of bombers that are, you know, 40 years old. are kind of irreplaceable in a way. So if something else strategically smart to just get in the heck out of there, they could still fly the round clock missions and everything without having to deal with staging risk. But obviously from an operational standpoint, totally an ideal to have to do that. So if you went back to a full blown bombing campaign, like you're super degraded, having to fly them all from Texas or South Dakota or I guess maybe you could fly them from DA or SEA or whatever.

versus flying them from the UK, it hurts. So not only have you had to push your bases that were close to Iran out a lot, but now you've even had to abandon a European outpost. Now if the war is about to be over or it stays in this weird equilibrium for years or whatever, who cares? But if you want or need to go back to the bombing campaign, if you can't go back, stage them back in Europe, that's a problem, especially for, you know, the fact that you're staging them in maybe your single biggest allied country. So something worth noting, but more highs and tech, more lows in IWM. And I did want to mention something on IWM. So we got short when it broke down almost exactly a month ago. It's been a very helpful hedge to be short that. And the reason we shorted it for the obvious two-year yield up, IWM has problems because a lot of the finances at the front end of the curve, A lot of it's floating rates. If you get fed rate heights, it really stings a lot of those companies. It has worked, but my concern at this point now is it's worked. The bounce back is there. Potential is there. A lot of people are short. Big, big shorts and futures at least. In small caps, obviously a lot of people are along the queues. I think a lot of people are just running that

spread trade. If that spread trade is nearly running out, you get good news out of the Middle East, good news out of Russia, Ukraine.

bad news out of the economy that lets rates come roaring lower or whatever. Like there's a lot of different things that could force those people that are long queues short IWM to try and blow out of that trade. And then you could get this weird queues down 3%, you know, IWM up 4% kind of a day. So I think that now that everyone's piling into that short, I think it's a less attractive, you know, that it was a month ago, which, you know, I think probably should be obvious, but the risk reward changed is what I would say. But that's it for me today. We'll be back with more tomorrow. Don't forget to download, subscribe and go to podcast.com. Check us out on YouTube, tell your friends. See y'all tomorrow. Cheers.